Tier-2/3 India can add ₹4,800 cr of FY31 revenue and a ₹650+ cr EBITDA band — only if the EL platform carries the lower price ladder.

FY26
R8.4 /
E~6.7%

FY31
R15 /
E>10%

GO Phased rollout to 1,800–2,000 stores. Hub-and-satellite service in T2 first; EL-driven mass play in T3 from FY29.

01 · DEMAND POOL

55% *of 2W EV sales*

will be in T2+T3 cities by FY28 — already **10.7%** penetration in T2, **8.7%** in T3, both more than 2× prior year [S04, S16].

So what: the geography where the next 10 lakh 2W EVs will be sold is no longer the top seven metros — the prize is 95+ cities that nobody owns yet.

02 · TODAY'S FOOTPRINT

22% / 12% / <10%

Q1 FY26 share in **South / Middle / Rest of India** — South has tripled off a low base, but Rest of India still single-digit even after FY26's expansion [S17].

So what: the 700 → 1,800–2,000 store plan is the lever — but store count alone won't close the gap without pricing and product fit.

03 · PRODUCT MIX

₹1.28L */scooter*

Average revenue per unit in FY25 — already **−12%** as Rizta scaled. Konarc at **₹1.0 L** ex-showroom and EL-platform family are how Ather meets the mass tier [S26].

So what: buttoning down on the 450 image will cap TAM at ~₹8,000 cr — soft ladder is a precondition for ₹15,000 cr+.

ANCHOR FIGURES

₹4,800 cr
Incremental FY31 revenue (vs FY26 base)

₹650+ cr
Run-rate EBITDA band by FY31

1,800–2,000
Stores by FY28 (vs 700 at end-FY26)

55%
T2+T3 share of 2W EV by FY28 (NITI Aayog)

Ather turned a metro display window into a brand — but Bajaj's sub-₹1L Chetak and TVS's dealer density now put the premium frontier under attack.

WHAT CHANGED IN 12 MONTHS

- Bajaj Chetak launched a **sub-₹1L variant in January 2026**; Aker's sub-Ather price story evaporates.
- FAME-II closed; PM E-Drive subsidy stays at **₹2,500/kWh**, but its tier-2 sweetener sunset on 31 Mar 2026.
- Ather's Q1 FY27 pre-orders **+158%** — demand outpacing supply for the first time.

WHAT DIDN'T CHANGE

The moat is real.

643 patents filed, **6,000+** Ather Grid chargers, an in-house software stack — these compound.

THE PROBLEM

Premium sits where volume isn't.

700 stores, 548 service centres — clustered in South & metros. **Rest of India share < 10%.**

THE QUESTION ATHER MUST ANSWER

*Can Ather extend the franchise **downstream** without unravelling what the brand is worth in metros?*

If yes, Ather becomes a **₹15,000 cr scale** franchise by FY31. If no, the company is a stylish **₹8,000 cr regional player** as the rest of the market consolidates.

TWO PATHS, TWO ENDPOINTS

PATH A · QUIET PREMIUM

Stay metros, defend brand.

Reach plateaus at ~₹8,000 cr. Volume flat by FY29. Bajaj and TVS own the volume tier.

PATH B · CALIBRATED TIER-2/3 PUSH

Add ~₹4,800 cr by FY31.

Sustained EBITDA in ₹650+ cr band. Needs EL-platform discipline, hub service, soft ladder.

Sources: Ather FY25-26 AR; Q1 FY27 press release; JMK Research; ET Energyworld; Autocar Professional; NITI Aayog; SIAM/Vahan.

Two readings of the same pool. Both end at the order of magnitude the financial case is built on.

India's 2W EV pool reaches ~5M units by FY30, and the T2+T3 slice alone is a ~₹22,000–28,000 cr value pool by then.

TOP-DOWN · MACRO → POOL

Total 2W base SIAM + Vahan, FY25 anchor		**23.5M** units / yr by FY30
× EV penetration mid-of-range, FY30		**22%** ≈ 5.2M EV 2W
× T2+T3 share of EV 2W, FY30 view		**60%** ≈ 3.1M units
× blended ASP mix-adjusted, FY30		**₹1.25L** post-PM E-Drive

T2+T3 REFERENCE POOL

₹38,750 cr · ~3.1M units

BOTTOM-UP · 95-CITY BOTTOM-UP BUILD

Tier-2 (58 cities · 1–5M pop) Jaipur, Lucknow, Indore…		**1.85M** units / ₹23,100 cr
Tier-3 strategic (37 cities · 0.3–1M) Nashik, Ujjain, Bhilai…		**1.0M** units / ₹12,000 cr
Adjacent semi-urban belt spillover from anchor cities		**0.35M** units / ₹4,000 cr

BOTTOM-UP REFERENCE TOTAL

₹24,500 cr · ~2.9M units

RECONCILIATION

Gap is ~37% — top-down counts every T2+T3 EV sale, bottom-up only counts cities plausibly served by Ather's three-tier network.

Both readings sit inside the same order of magnitude. We anchor the financial case on the **bottom-up ₹24,500 cr** as Ather-addressable by FY30, and test sensitivity against the higher top-down ceiling.

CROSS-CHECK: NITI AAYOG

T2+T3 already 55% of 2W EV sales by FY28.

Penetration in T2 went 4.16% → 10.67% and T3 1.69% → 8.68% in a single year.

Sources [S02–S04, S07, S10, S11, S16]: SIAM/Vahan registrations; ICRA outlook 2030; MarketsandMarkets India EV 2W 2026–31; NITI Aayog EV forecasts; JMK Research tier-2/3 whitepaper; ET Energyworld penetration tracker.

To ~22% share by FY31, Ather needs ~1,800–2,000 stores and the share to migrate out of South.

A. STORE JOURNEY

700 → 1,800–2,000 across three formats.

FORMAT 1

Experience Centres

Full sales, service, Ather Grid flagship. Tier-1 + Tier-2 metro-adjacent.

350

by FY31 · flat from FY28

FORMAT 2

Ather Studios

Sales-led, partnership-serviced. Tier-2 anchor cities. Workhorse of expansion.

900

by FY31 · +650 vs FY26

FORMAT 3

Satellite touchpoints

Test-ride + delivery hubs. Tier-3. Low capex, partners run them.

750

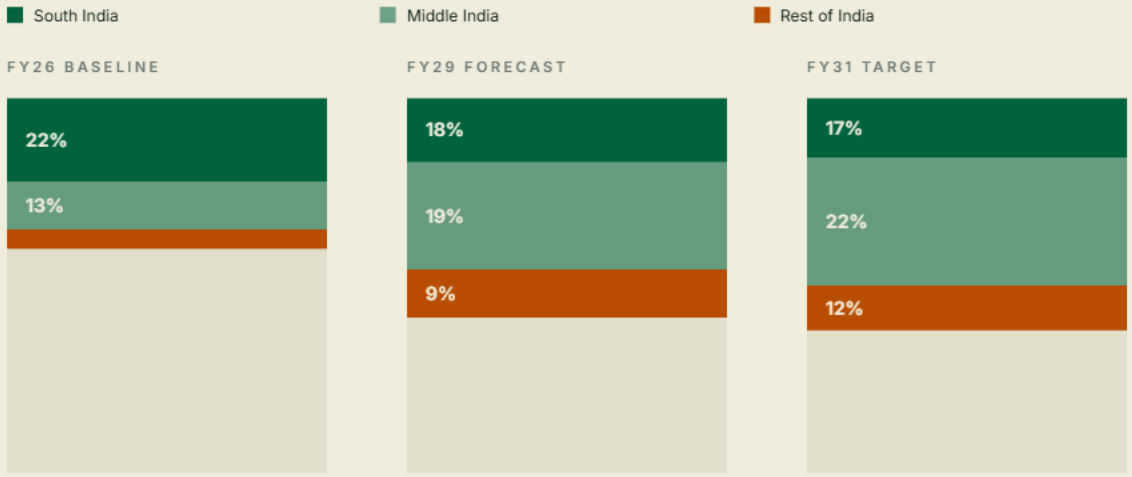
by FY31 · net-new format

TOTAL BY FY31

2,000 stores vs 700 at end-FY26 · 2.9×

B. NATIONAL SHARE MIX

Rest-of-India becomes the largest contributor by FY29.



~14% national
Q4 FY26 weighted

~18% national
+400 bps from FY26

~22% national
+800 bps from FY26

ANCHOR INSIGHT

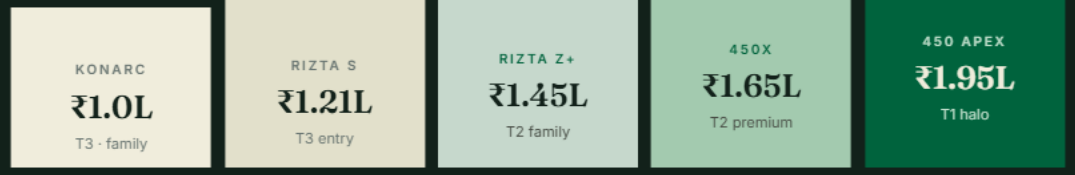
Adding 18% to Rest-of-India share is 4× more units than defending an additional 5% in South.

Sources [S17, S18, S19, S26]: Ather FY25-26 AR + AGM AR; Q4 FY26 earnings call summary; Reuters, AckoDrive, ET Auto on retail network expansion; Autocar India 1,800–2,000 store plan.

Four plays landing in three phases — and one shared rule: segment the product before segmenting the geography.

PLAY 1 · PRODUCT & PRICE

A five-rung ladder tuned to income tier.



PLAY 2 · CHARGING & ENERGY

Ather Grid becomes the moat — but densified by tier.

6,000+

chargers today · 2000+ fast points across 110 cities

Target 18,000 by FY31. Tier-2 hub cities get 8–12 fast + 30–50 neighbourhood chargers each. Tier-3 leans on home + 2-3 satellite points.

DENSITY TARGET BY FY31

Tier-1 metro	1 charger / 35 vehicles
Tier-2 hub	1 / 70 vehicles
Tier-3 satellite	1 / 130 vehicles

PLAY 3 · SERVICE MODEL

Hub-and-satellite service — Bajaj has 3,800+ touchpoints.

Hub city service centre

Full-service, 6-bay facility. One per Tier-2 anchor city. ~₹3 cr capex. Targets 30+ satellite touchpoints per hub.

Satellite (partner-led)

Servicing + battery swap enabled. Capex ~₹50L. Tie-up with regional two-wheeler workshops, fee-per-service model.

PLAY 4 · FINANCING & ECOSYSTEM

Make financing cheaper than the petrol scooter EMI.

NBFC	Pool loans with Shriram, Chola, Ecofy — target ~7.5% all-in from 10% today, EMI from ₹2,499.
Insure	Ather Insurance Limited (subsidiary) — own bundle, 8-year battery warranty partner.
Battery	Battery-as-a-Service pilot in FY28 — cuts entry ASP by ~30%, fast payback for fleet / family.

PHASE 1 · FY27–28 700 → 1,200 stores, T2 lead, Rizta + 450S, 1 hub / 4 cities

PHASE 2 · FY29–30 Konarc + EL platform at T3 · partner-led satellite service

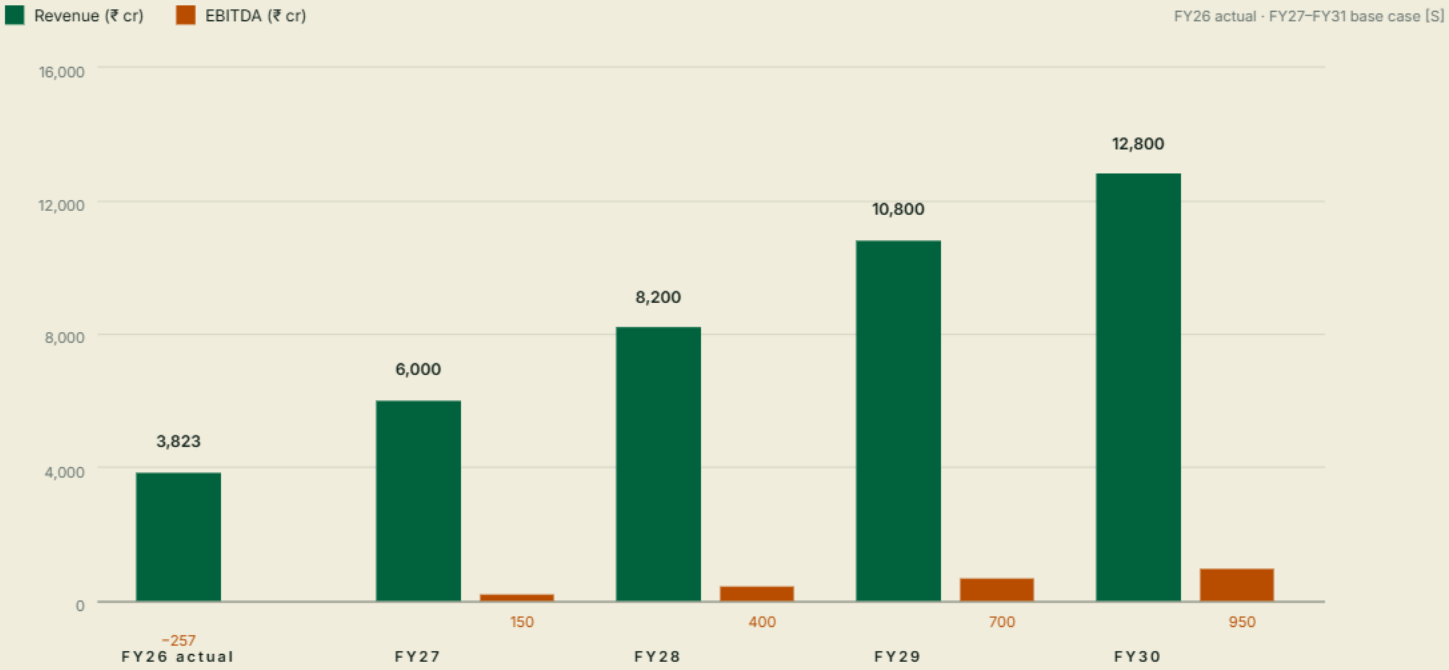
PHASE 3 · FY31 2,000 stores, BaaS scaled, 22% national share

Sources [S18, S20, S22, S25, S26]: Cartoq on Rizta; CarandBike Konarc pricing; Forbes India Q1 FY27 interview; AdwinPower, FranCorp dealership data; Ather investor presentation Mar 2026.

All figures in ₹ crore unless stated. Discount rate 14% (cost of equity proxy, India cash-flow context).

Tier-2/3 expansion takes Ather from ₹3,823 cr (FY26) to ~₹15,000 cr by FY31 — base-case NPV of ₹4,200 cr at 14% WACC.

REVENUE & EBITDA · BASE CASE



YEAR 5 ANCHOR · FY31

15,000

₹ crore revenue · ~3.9× FY26 base

₹1,150 cr

Run-rate EBITDA · ~7.7% margin

DISCOUNTED METRICS · BASE CASE

₹4,200	32%	3.8 yrs
NPV (₹ cr)	IRR	Payback

WACC chosen midpoint 14% reflects India large-cap auto cost-of-equity context. Conservative terminal value at 7× FY31 EBITDA, 2% terminal growth.

SCENARIOS · FY31 OUTCOME

BEAR	BASE	BULL
₹10,500 cr rev	₹15,000 cr rev	₹19,000 cr rev
+ ₹400 cr EBITDA · NPV ₹1,100 cr	+ ₹1,150 cr EBITDA · NPV ₹4,200 cr	+ ₹2,000 cr EBITDA · NPV ₹8,100 cr

FY26 actuals from Ather AR FY25-26 + investor presentation Mar 2026 + Q1 FY27 results. Forecasts author-built; base case assumes T2+T3 contribution of ~₹4,800 cr incremental revenue by FY31.

The base case is robust but not invulnerable. Each risk has a defined signal and a named mitigation owner.

Five failure modes that bend the curve — competitive response is the one we cannot fully de-risk.

#	RISK	LIKELIHOOD	IMPACT	EARLY WARNING · MITIGATION
01	**Competitor matching pricing** Bajaj Chetak <₹1L + TVS dealer density	HIGH	HIGH	**Signal:** Bajaj sub-₹80k SKU or TVS exclusive T2 financing alliances. **Mitigation:** sign exclusive NBFC + battery-swap bundles in top 30 T2 cities by FY28-end; pre-empt rather than react.
02	**Subsidy phase-out drag** PM E-Drive subsidy stays at ₹2,500/kWh but scheduled to sunset	MED	HIGH	**Signal:** post-subsidy registration primary sales drop > 8% versus pre-cut baseline. **Mitigation:** hedge with BaaS pilot in FY28 (cuts entry ASP); build mix to 30% LFP cells by FY30.
03	**Service network cost overruns** 1 hub / T2 city (~₹3 cr) + 750 satellites ahead of demand	MED	MED	**Signal:** any city under 50% utilisation 6 months after opening. **Mitigation:** capex-light satellite model with ₹50L capex and fee-per-service; tight re-deployment SLA.
04	**Brand dilution from mass play** Konarc at ₹1.0L risks the 450 halo image in metros	MED	MED	**Signal:** South metro share decline > 200 bps YoY post-launch of mass SKUs. **Mitigation:** Konarc/Rizta shown in dedicated Ather Studios, not flagship Experience Centres; brand audits quarterly.
05	**Cash burn before FY28 break-even** Capacity capex + working capital scaling together	MED	MED	**Signal:** cash < 6 months opex after Q1 FY28 with no clear line of sight on EBITDA positive quarter. **Mitigation:** phased capex, raise ₹700–900 cr pre-FY28 on EBITDA-positive read; defer F3 Phase-II independence to FY30.

Owner convention: COO for service & ops risks, CFO for cash & subsidy, CEO for competitive. Each signal monitored monthly with quarterly review cadence.

Decision card for the board. Three execution horizons, three kill criteria, one requested approval.

THE DECISION

Go.

A calibrated three-tier rollout that opens the ₹22,000 cr T2+T3 pool. Don't take the brand downstream by accident — segment the geography together with the product.

THREE EXECUTION HORIZONS

100 DAYS · SEED

Pick 30 T2 cities, lock partners.

— Sign 5 city-partner contracts (Jaipur, Indore, Lucknow, Nagpur, Coimbatore).
— Lock 1 NBFC anchor at ~7.5% all-in for Ather buyers.
— Ship 4 hub-city service centres; seed 20 satellites.
— Convert Konarc waitlist pipeline (>50k) into T3 bookings.

YEAR 1 · SCALE

Reach 700 → 1,200 stores.

— Add 500 Ather Studios, weighted 70% in T2, 30% in Rest of India.
— Roll BaaS pilot in 5 cities, target 4,000 subscribers.
— Cross 50% market share in top 5 metro sprawl districts.
— Land FY27 EBITDA ± ₹150 cr, paving path to FY28 + ₹400 cr.

YEAR 3 · MAINSTREAM

2,000 stores, 22% share.

— Phase 2 launches in 30 Tier-3 anchors, partner-led satellites.
— EL-platform second model at ₹1.10–1.20L; LFP cells cross 30% mix.
— Rest-of-India share at 12%, Middle at 22%, South at 17%.
— Run-rate ₹1,150 cr EBITDA, ₹15,000 cr revenue.

KILL CRITERIA · WHEN TO STOP

— South metro share declines > 400 bps over 4 consecutive quarters — pause mass-SKU rollout.
— Cash < 6 months opex post Q1 FY28 with no line-of-sight EBITDA positive — halt Phase 2 greenfield capex.
— Concentrated sub-₹90k SKU responds with 30%+ of national EV 2W share — strategic reassessment.

WHAT WE ASK THE BOARD

— Approve the three-tier playbook in principle.
— Approve ₹250–350 cr capex envelope over FY27–28.
— Quarterly board review with the kill criteria above.